Size of Allied

58. According to "*The Times* 500 Leading Companies in Britain and Overseas, 1968–69", Allied is the 16th largest British industrial company in terms of capital employed. The figure given for Allied is £247·7m, but this does not take account of Allied's 1968 acquisitions. If these are included the total capital employed becomes £302m and Allied probably moves to a slightly higher position in *The Times* list (to 11th place assuming no relevant changes for other companies). In the consolidated balance sheet in Allied's published accounts for 1968 the total net assets (including goodwill) of Allied at 28th September 1968 are shown as £307·3m.

CHAPTER 3

The United Kingdom Drinks Industry

59. While it is unlikely that a merger between Unilever and Allied would have any significant effects in any of the United Kingdom industries in which Unilever is at present operating, it is claimed both by Unilever and by Allied that it would have certain effects on Allied's operations in the United Kingdom and thus probably on the United Kingdom drinks industry.* We therefore give in this chapter a brief outline of the structure of the United Kingdom brewing industry, with references to the wines and spirits, cider and soft drinks industries.

60. The United Kingdom is one of the major beer drinking countries in the world. In 1967, with a consumption of 20·5 gallons per head of population, it ranked seventh and was exceeded only by Czechoslovakia, West Germany, Belgium, Australia, New Zealand and Austria (in that order). However, with a total consumption of 31·4m bulk barrels† the United Kingdom was the third largest national market, and was exceeded only by the USA with 76·6m, and West Germany with 46·8m. The total amount of beer brewed and retained for consumption in the United Kingdom has risen fairly steadily over the last 11 years from 24·2m bulk barrels in 1958 to 30·1m bulk barrels in 1968, an increase of about 24 per cent.

61. The industry has been characterised for very many years by a substantial and continuing reduction in the number of separate breweries. This has been due to the disappearance during the later part of the nineteenth and the early part of the twentieth centuries of the small brewery belonging to and brewing for a single licensed house, and also to a process, which has continued up to the present, of amalgamations and acquisitions resulting in closures of redundant capacity. In 1950, 567 brewers-for-sale licences‡ were issued; in 1960, 358; in 1967, 244. The reduction in the numbers of breweries has been accompanied by an increasing concentration of ownership. In 1967 seven brewers, operating about 70 breweries in the United Kingdom, accounted for 73 per cent of the total United Kingdom production of beer. In that year Allied was the second largest producer, with a total of 4·83m bulk barrels or 15·5 per cent of the

* See Chapter 4.

† We use the term "bulk barrel" to mean a barrel containing 36 gallons. The figure for the USA is expressed in these terms and not in terms of the smaller American barrel.

‡ i.e. licences to brew beer for sale.

United Kingdom total production. Of the 27 per cent. of United Kingdom production not accounted for by the seven biggest brewers about half was accounted for by 11 companies and the remainder (about 13 per cent of the total) was accounted for by 93 separate companies.

62. Imports of beer retained for consumption in the United Kingdom have remained almost unchanged in recent years. The figure was 1·2m bulk barrels in 1958, and 1·4m in 1968. Rather less than 5 per cent of the beer consumed in the United Kingdom, therefore, is imported. About 90 per cent of the imports are of Guinness stout and Harp lager brewed in the Irish Republic, and small quantities of lager are imported from Denmark, the Netherlands and Germany.

63. Exports of beer from the United Kingdom are small, and represent only about 1 per cent of the total sold by United Kingdom brewers.

64. The greater part of the beer sold retail in the United Kingdom is sold through retail outlets owned by the brewers. In 1967 about two-thirds of the total was sold through the brewers' tied outlets. Some of the beer sold through tied outlets is either imported beer or beer brewed by other United Kingdom brewers, but by far the greater part (about 90 per cent) is beer brewed by the brewer owning the outlets. More than 90 per cent of the draught beer sold through brewers' own outlets is the brewer's own beer, but about a quarter of the bottled beer has been brewed by other United Kingdom brewers.

65. Many brewers in the United Kingdom are substantial producers, importers and wholesalers of wines and spirits. Since the 1950s brewers have begun bulk buying and bottling of whisky, gin, sherry, port, brandy, rum, etc, and have been marketing their own brands of these. In addition, brewers have acquired, or taken substantial interests in, existing wines and spirits businesses with well known brands of their own. Recently some of the major brewers have launched, with heavy advertising campaigns, new brands of table wines; and sales of table wines are estimated to have increased by 90 per cent in the last seven years. Some brewers have their own whisky distilling or blending subsidiaries, but distilleries not owned by brewers still hold the major share of the United Kingdom market in whisky. The greater part of the gin produced in the United Kingdom is produced by companies not owned by brewers, but most brewers have an interest in a consortium which produces gin, and the brewers' share of the production of gin has shown a marked increase in recent years. Most of the leading United Kingdom brewers now have their own brands of rum, and it is estimated that these brands account for about half the United Kingdom market. Some of the leading brewers have major interests in shippers and importers of brandy, but the greater part of the supply is independent of brewers. Brewers also have a substantial interest in the production of vodka in the United Kingdom, the consumption of which increased about five-fold between 1961 and 1966; of the 7m bottles consumed in 1966 less than 5 per cent were imported.

66. Most of the cider produced in the United Kingdom is accounted for by companies not owned by brewers but since the acquisition by Allied Breweries of Showerings Ltd in 1968 the brewers' share of cider production in the United Kingdom is now over 35 per cent. The production of soft drinks in the United Kingdom, which in 1966 was about 300m gallons, is accounted for by nearly 700 separate manufacturers, though nearly half the production is in the hands

of two major producers. The brewers' share of the soft drinks market is not known, but it is understood that soft drinks are manufactured by a substantial number of brewers or their subsidiaries.

67. The total number of retail outlets for alcoholic liquor in the United Kingdom is about 140,000. Nearly 60 per cent of these are on-licence premises (public houses, hotels, restaurants etc.), about 22 per cent are off-licences, and the remaining 18 per cent are clubs. Licensed premises owned by brewers represent about 70 per cent of the on-licence premises (mostly public houses), just under 30 per cent of the off-licence premises, and nearly 60 per cent of the total (excluding clubs). The six largest brewery owners of licensed premises own about 40 per cent of the total (excluding clubs), about 47 per cent of the on-licences, and about 21 per cent of the off-licences. Allied, with some 10,000 licensed premises, is the second biggest owner of licensed premises; it is also the second biggest owner of public houses (over 8,300) and the biggest owner of off-licences (1,700).

68. The off-licences are broadly of two kinds, those which deal primarily in liquor, and those whose liquor trade is a part of a much wider trade; the total is divided roughly equally between the two kinds. The first kind (the off-licence dealing primarily in liquor) includes both the general off-licence shop dealing in a wide range of liquor including beers, wines and spirits and soft drinks, and also the specialist wine merchant who sells little, if any, beer. The second kind comprises mainly licensed grocers and supermarkets. Probably about 70 per cent. of the off-licences owned by brewers are shops dealing primarily in liquor.

Chapter 4

The Proposed Merger, and its Purpose and expected Effects

69. The announcement by Unilever and Allied at the end of November 1968 that a merger between them was proposed gave rise to a considerable amount of public comment, some of which discussed the proposal in the context of "conglomerate mergers". Unilever itself was aware of this, and told us that it regarded the proposed merger as a "product extension" merger—that is "a consolidation of two companies whose activities are related functionally at either the production or marketing level, but whose products are different".

70. Unilever told us that its activities were not those of " a mere holding company" but those of a large enterprise with diversified but related activities. We have already, in chapter 1, described the activities of Unilever and the ways in which they developed and are related to one another.

71. Unilever considers the proposed acquisition of Allied to be a "natural extension of Unilever's international food business", and as implementation of a decision taken by the Special Committee in October 1964 that it was desirable that Unilever (as distinct from UAC) should enter the brewing industry. As a result of this decision, Unilever had explored the possibilities with a number of companies in various countries, but without result.

72. The Chairman of Allied told us that, in considering the long term future of his company, he thought that there was a limit to the extent to which expansion in the home market would be possible, and that really profitable